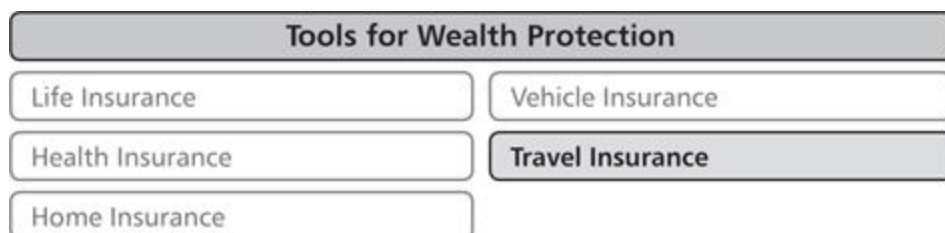


The next big financial asset (actually a liability) is your vehicle. You need to secure your vehicle from damage or threat, so that you are not financially impacted if it undergoes any damage or because of theft.

Vehicle Insurance happens to be the only 'mandatory' insurance coverage in India. None of the other risks (Risk to Life, Health, Home, Travel, etc.) are mandatory to be covered, but Vehicle insurance is. That is why a 5L car will definitely be insured while the person sitting behind the wheel may or may not be.

The important aspect to understand here is that insuring your 'own' car is actually not mandatory. However, you are mandatorily required to insure coverage of any 3rd party liability when you are operating your vehicle in a public place.

This sounds logical, and therefore only 3rd party insurance is mandatory. However, this makes little sense as far as covering your financial risk is concerned. A 3rd party coverage will not cover the damages to your own vehicle or to you. Therefore, in most cases, it is advisable to go for a comprehensive insurance policy, which covers both risks—to your own vehicle as well as 3rd party liabilities.



Travel Insurance

For those of you who travel often or even if only during holidays, it is important that you cover multiple 'financially heavy' risks associated with it. Some of the risks that Travel Insurance will cover for you at an extremely affordable premium would be:

- Accident and medical treatment need in a foreign land, which can otherwise be extremely draining on your financial nest egg
- Luggage with valuables lost during transit
- Trip cancellation in case of emergencies